

issuers, for example, offer you a twenty-day grace period before interest accumulates on the money you borrow; others tack on transfer fees (for transferring the debt, naturally) and start charging you interest the moment the checks are cashed by your old cardholders.

There are two kinds of low-rate cards: those with low rates that last and those with temporarily low introductory rates, also known as **teasers**. Teaser rates can be as low as 0% and last for six months to a year. After that period, the rate increases dramatically. While the low teaser rate lasts, however, it can save you a lot of money. Transferring a \$2,000 balance from a 16% card to one with a 0% teaser rate, for example, would save you \$156 in interest payments over six months—assuming there are no balance transfer fees, of course.

So if you know for sure that you can pay off the whole card before that teaser rate runs out, you're okay. The card issuer counts on the fact that you can't—which is the case for most people. If that's your situation and you're super-organized, you may be able to keep your rates low by going “credit card surfing”—transferring your balance to a new teaser-rate card whenever your teaser rate runs out. But you have to surf carefully and that's very hard to do. Credit card companies have gotten wise to credit card surfers, and most now charge transfer fees, so pay attention. Also, don't let the low rates seduce you into paying off your debt slowly; try to pay at least as much every month as you would with a higher-rate card.

In a perfect world, you'd be able to find a card with a low rate that lasts. The interest rates on such cards tend to be higher than teaser rates, but are far more stable in the long run. Unfortunately, after the wave of credit card delinquencies in recent years, banks have made it significantly more difficult to qualify for these cards. Here are details on some of the requirements.

- **Solid bill-paying habits.** If you've been 30 days late paying a credit card bill within the last four years or if you have ever been more than 60 days late, you'll have a hard time getting a low-rate card.

THE TRICKY TEASER